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4. The incorrect accounting equation is

(a) Assets = Liabilities + Capital
(b) Assets = Capital + Liabilities
(c) Liabilities = Assets + Capital
(d) Capital = Assets – Liabilities

5. Accounting equation is formed based on the accounting principle of

(a) Dual aspect
(b) Consistency
(c) Going concern
(d) Accrual

6. Real account deals with

(a) Individual persons
(b) Expenses and losses
(c) Assets
(d) Incomes and gains

7. Which one of the following is representative personal account?

(a) Building A/c
(b) Outstanding salary A/c
(c) Mahesh A/c
(d) Balan & Co

8. Prepaid rent is a

(a) Nominal A/c
(b) Personal A/c
(c) Real A/c
(d) Representative personal A/c

9. Withdrawal of cash from business by the proprietor should be credited to

(a) Drawings A/c
(b) Cash A/c
(c) Capital A/c
(d) Purchases A/c

10. In double entry system of book keeping, every business transaction affects

(a) Minimum of two accounts
(b) Same account on two different dates
(c) Two sides of the same account
(d) Minimum three accounts

Answers

1. (d)	2. (a)	3. (d)	4. (c)	5. (a)	6. (c)	7. (b)	8. (d)	9. (b)	10. (a)

II Very short answer questions

1. What are source documents?
2. What is accounting equation?
3. Write any one transaction which
   a) Decreases the assets and decreases the liabilities
   b) Increases one asset and decreases another asset